onshore, specialized and general, foreign and domestic, growth and income. In 1950, there were only 98 such funds in total. There were more mutual funds for sale on the current market than there were stocks for sale in 1965.

According to Mr. Lipper, only 30 percent of these mutual funds had anything to do with stocks. The other 70 percent were invested in bonds, bank certificates, or the money market. These income funds were invented so people could avoid the dilemma of choosing from thousands of competing bonds and certificates of deposit, and now there were thousands of them. There were even mutual funds that invested in other mutual funds. All in all, Mr. Lipper figured that $500 billion was riding on this whole business.

During our interview, I suddenly had this thought: *Suppose your mutual fund decides to dump Gillette, while you've just bought 100 shares of that same stock for your individual account? Maybe you're fighting against yourself. Maybe a dumping of shares by mutual funds has driven the price down, frightening you into selling your individual shares at a loss. Then again, when your mutual fund buys something you already own individually, the purchase could work in your favor.* These complications deserve further study. When average investors complain that Wall Street is run by big institutions, they don't always remember their part in it.

Some of the biggest advances in the mutual fund industry, along with the many new types of funds, were the new ways that fees and expenses could be charged to clients. There were load funds that charge a sales fee up front, back-loaded funds that charge a sales fee later, no-load funds that take their fees during the year, and innovative trailing commissions taken out a little at a time. Mr. Lipper said that during bull markets, most clients were satisified with their gains and didn't notice the commissions and fees, but in the next bad market, he predicted a rude awakening. "Go back to a period of low returns," he said, "and the expenses of these funds could become a real bother. You could find people shopping for mutual funds on the basis of management fees alone, which they don't do today."

If you are paying a mutual fund manager, especially in a stock fund that promises capital growth and so on, then you expect better results than you'd get on your own. That brings me back to Mr.